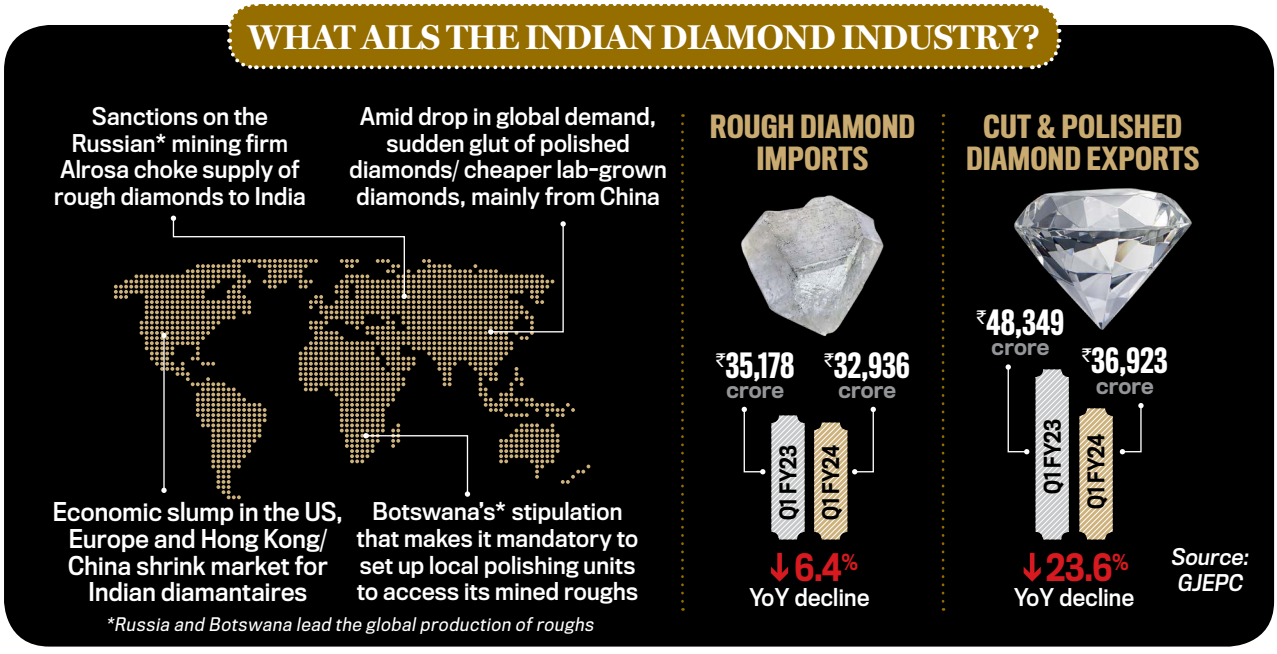


Graphic by TANMOY CHAKRABORTY

finding a new job or settling severance pay and gratuity issues with their former employers. "After the Covid-induced lockdown," he says, "the layoffs started gradually in the form of salary deductions for fewer work days or extended unpaid breaks around festivals. But, earlier this year, people were summarily fired. This is the first time since the 2008 global recession that polishers have been laid off in such large numbers." He also terms the estimate of 15,000 job cuts as a "conservative figure".

So, what exactly is ailing India's diamond industry? The first signs of a crisis emerged when the international market of uber-luxury products like diamonds did not see any bounceback after the pandemic. Three years later, while the US and European economies continue to totter, an extended lockdown in China has further shrunk the market for Indian exports—35 per cent of the diamonds being cut and polished in India find their way to China, with Hong Kong accounting for a major share.

Additionally, there are unfavourable factors on the supply side. After Russia, Botswana has the largest diamond reserves. At the turn of this century, the British corporation De Beers—which is the world's biggest miner and has a deal with Botswana—had a near-monopoly over the global supply of roughs with an almost 80 per cent share. In recent decades, however, Russia's Alrosa has emerged as the market leader, with a 27.8 per cent share in 2021 compared to De Beers' 27.5 per cent. Given India's natural proximity to Russia, Surat's diamantaires were only too happy to offset their dependence on De Beers with Alrosa.



"THIS IS THE FIRST TIME SINCE THE 2008 GLOBAL CRISIS THAT DIAMOND POLISHERS HAVE BEEN LAID OFF IN SUCH NUMBERS.... I GET SOME 10 REPRESENTATIONS EVERY DAY"

–BHAVESH TANK
Vice-president, Gujarat Diamond Workers Union

Then came the Russian invasion of Ukraine in February 2022. As the West imposed sanctions on importing big diamonds from Alrosa, Surat continued to deal in lower value small diamonds. But in September this year, after a report by Ukraine's National Agency on Corruption Prevention listed Surat's diamantaires as 'international war sponsors' for continuing to do business with Alrosa, the G7 countries decided to verify the source and journey of each diamond they imported. This also prompted India's Gems and Jewellery Export Promotion Council (GJEPC) to issue a statement, claiming that all business with Alrosa has been suspended.

With Alrosa out of the picture, Surat's dependence on De Beers has increased. And here lies the catch. In July 2023, De Beers renewed its five-decade-old association with Botswana, which about 15 years ago made it mandatory for diamond companies to set up processing units within the country to access its locally-mined roughs. This stipulation has been strictly implemented of late, and Shree Ramkrishna Exports Pvt Ltd, one of the biggest diamond crafting companies in India, is among the firms that have complied. "We shifted 20 polishers from Surat to Botswana and